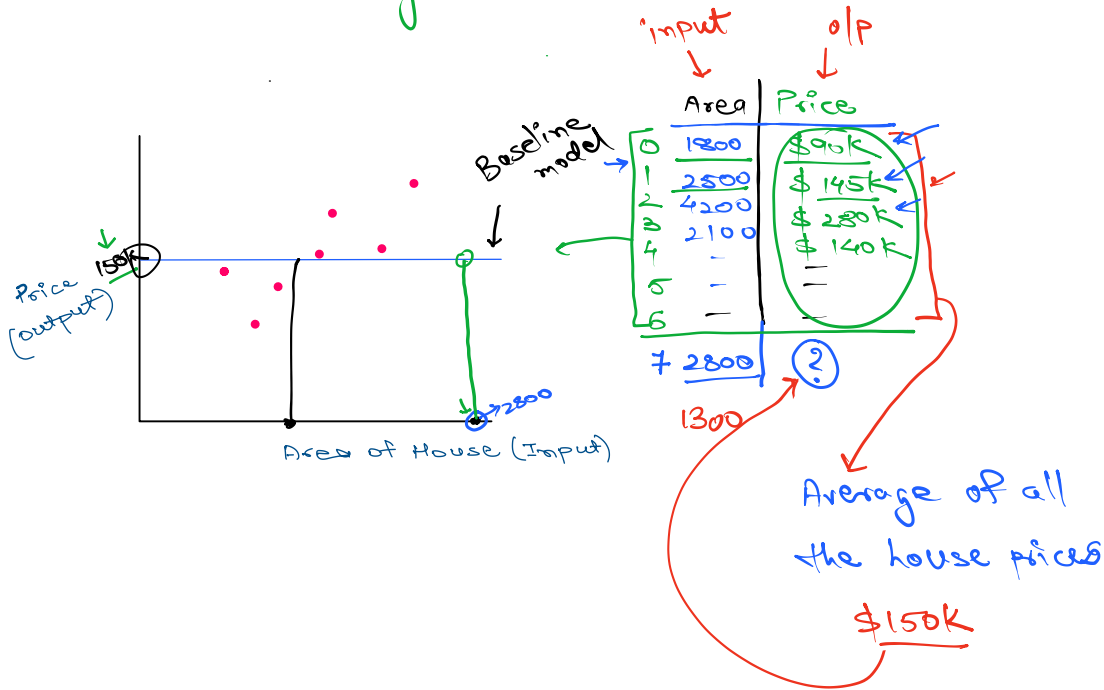
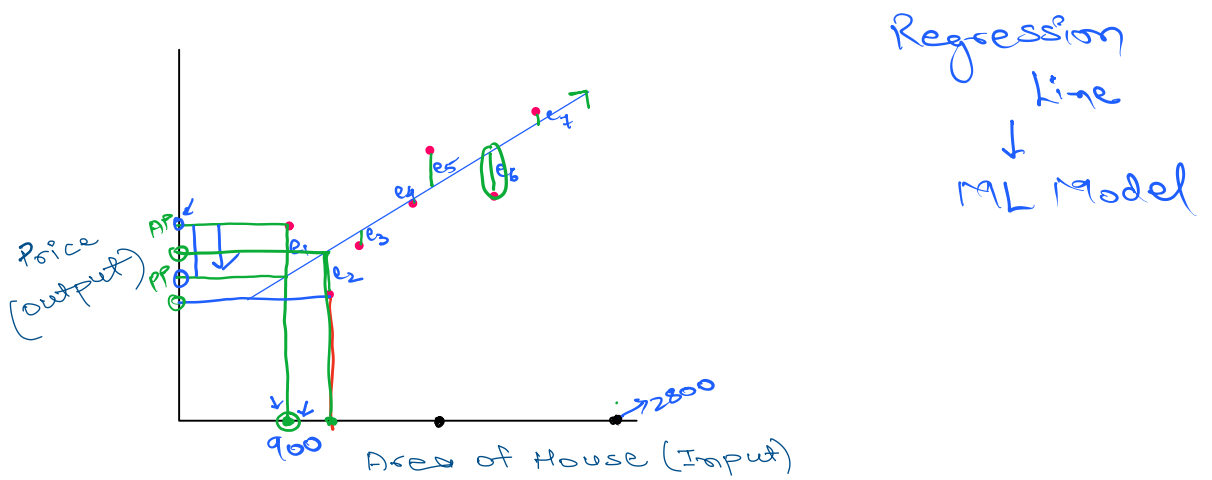


Regression

Linear Regression



Smart solution → using Linear Regression Algo



$$\text{Error} = \text{Actual Price} - \text{Pred Price}$$

$$120000 - 105000 = 15000$$

10k house/rows

$$(15K)^2 + (8K)^2$$

	Area	Price ↓	Pred Price ↓
0	900	\$120K	\$105K
.	1000	\$100K	\$108K

distance

1 2 3 4 5

Modulus
absolute

$$|-10| = 10$$

Total Errors made by a line

$$TE = e_1 + e_2 + e_3 + e_4 + e_5 + e_6 + e_7$$

↓

$$TE = e_1^2 + e_2^2 + e_3^2 + e_4^2 + e_5^2 + \dots$$

Sum of squared errors (SSE)

↓

Another prob: Explosion of values

↓

$$MSE = \frac{SSE}{n} = \frac{e_1^2 + e_2^2 + e_3^2 + e_4^2 + \dots}{n}$$

Mean Squared error.

$e_1, e_2, e_3, e_4, \dots$

↓

$$\times TE = e_1 + e_2 + e_3 + \dots$$

↓

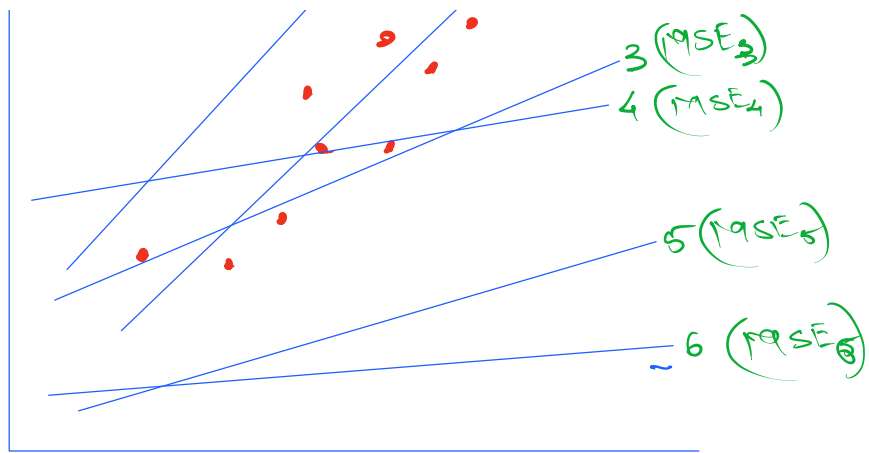
$$SSE = e_1^2 + e_2^2 + e_3^2 + \dots$$

↓

$$\checkmark MSE = \frac{SSE}{n} = \frac{e_1^2 + e_2^2 + e_3^2 + \dots}{n}$$

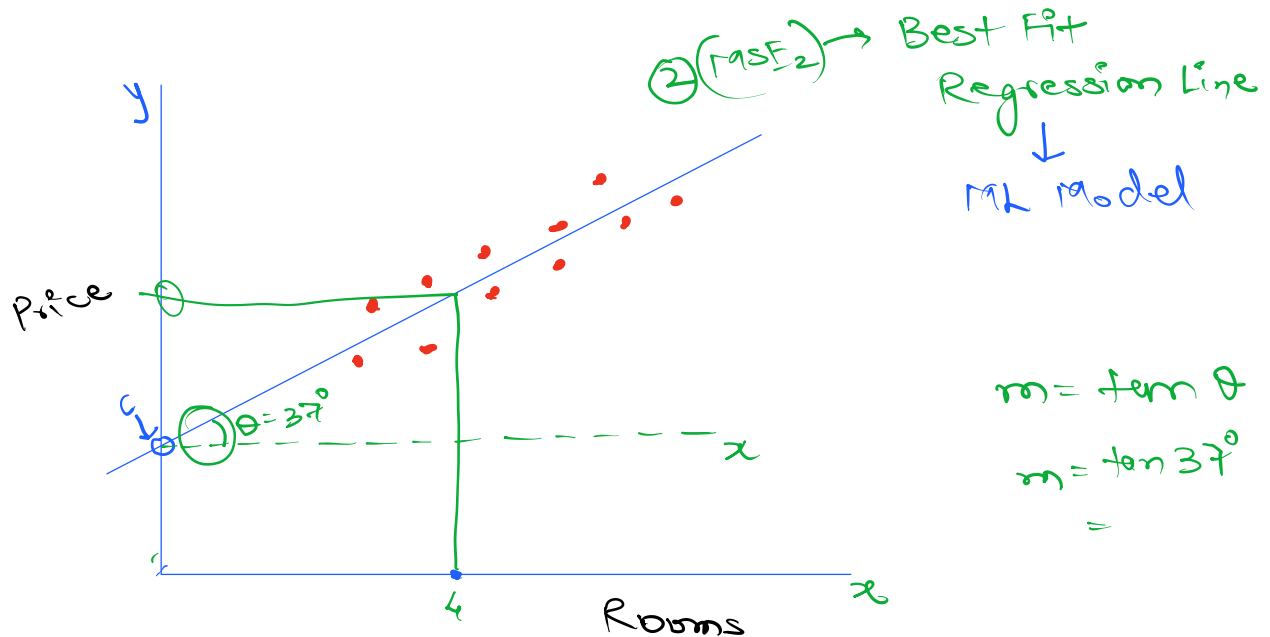
1 (MSE₁)

2 (MSE₂)



MSE_1 vs MSE_2 vs MSE_3 vs MSE_4 vs MSE_5 vs MSE_6

↓
will be lowest
here,
which means
Line 2 is most
accurately trained
Regression line



We need to represent our ML model as Best Fit

line as an equation:

$$y = \textcircled{m}x + c$$

$$\text{Price} = w * \text{Rooms} + \textcircled{c}$$

2 lines

Rooms: $\textcircled{4}$

$$\text{Price} = 0.87 * \text{Rooms} + 0.81$$

$$= 0.87 * 4 + 0.81$$

=

① Simple Linear Regression

② Multiple Linear regression

I/p's, feature, ind var.

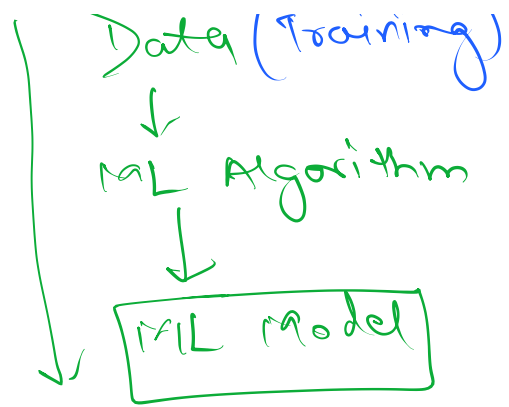
x_1	x_2	x_3	x_4	y
Area	Rooms	Floors	Age	Price

Target, output, dep var.

$$\text{Price} = w_1 x_1 + w_2 x_2 + w_3 x_3 + w_4 x_4 + c$$

$$= w_1 * \text{Area} + w_2 * \text{Rooms} + w_3 * \text{Floors} + w_4 * \text{Age} + c$$

Train a ML model



No